Solution

Tutorial note

To find the opening capital fund, opening balance sheet should be prepared.

In the books of Coimbatore Cricket Club

Balance sheet as on 31st March, 2015

Liabilities	₹	Assets	₹
Capital fund	**10,500**	Stock of balls and bats	3,000
(Balancing figure)		Cash at bank	8,000
Subscription received in advance	500		
	11,000		11,000

Dr. Income and Expenditure Account for the year ended 31st March, 2016 Cr.

Expenditure	₹	₹	Income	₹	₹
To Maintenance		5,000	By Subscriptions	11,000	
To Secretary's honorarium		4,500	Add: Received in advance		
To Bats and balls	7,400		in 2014-15 for 2015-16	500	
Add: Opening stock	3,000			11,500	
	10,400		Add: Outstanding for 2015-16	2,000	13,500
Less: Closing stock	1,000	9,400	By Sale of old bats and balls		100
			By Excess of expenditure		
			over income (deficit)		**5,300**
		18,900			18,900

Balance sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹
Capital fund	10,500		Furniture	15,000
Less : Excess of expenditure			Stock of balls and bats	1,000
over income (deficit)	5,300	5,200	Subscriptions outstanding	2,000
Reserve for Pavilion Fund :			Cash at bank	7,800
Subscriptions for tournament	2,000			
Less: Tournament Expenses	1,400	600		
Legacies		20,000		
		25,800		25,800

12th-Accountancy-Unit-02.indd 65 12/9/2021 10:48:25 PM